Chapter Forty

State of Public Expenditures

The Budget papers divide total expenditures into two broad divisions: the Centre's expenditure and transfers. The Centre's expenditure is made by the Central government ministries, departments and its organizations and bodies. Transfers are expenditures incurred by state governments, grant-in-aid institutions and bodies and organizations with independent legal structures.

The Centre's expenditure is broadly classified in three parts: establishment expenditure i.e., expenditure on salaries, pensions and other administrative expenditure; expenditure on central-sector schemes and projects; and expenditure classified as other central-sector expenditure, which includes investments in public-sector enterprises.

Expenditures treated as transfers also comprise three broad categories: expenditure on centrally sponsored schemes (CSSs), expenditure incurred on grants recommended by the Finance Commissions and expenditure classified as other grants/loans/transfers.

Budget 2019–20

The actual expenditures of the Government of India for financial year 2019–20, without counting the off-budget expenditure, were Rs 26.86 lakh crore. The expenditure on the revenue account was Rs 23.50 lakh crore and that on the capital account Rs 3.36 lakh crore. The first revised estimates of GDP at current prices for financial year 2019–20 are placed at Rs 203.51 lakh crore. India's Central government expenditure for the year 2019–20